IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH (COURT – II)

Item No. 101
(CAA)- 40(ND)2020

IN THE MATTER OF:

Chiragh Tanners and Exporters Private Limited with Pushpanjali Trexim Private Limited ... **Applicant/Petitioner**

Under Section: 230-232

Order delivered on 16.10.2020

CORAM:
CH. MOHD. SHARIEF TARIQ,
HON'BLE MEMBER (J)

SHRI. L. N. GUPTA,
HON'BLE MEMBER (T)

PRESENTS:
Counsel for the Applicant

ORDER

Order is pronounced.

-Sd-

(L. N. GUPTA)
MEMBER (T)

-Sd-

(CH. MOHD.SHARIEF TARIQ)
MEMBER (J)

Sapna

NATIONAL COMPANY LAW TRIBUNAL

NEW DELHI, COURT-II

COMPANY PETITION NO.(CAA)-40(ND)/2020
IN
COMPANY APPLICATION NO. Comp. Appl. (CAA)-21(ND)/2020

IN THE MATTER OF:

SECTION 230 to 232 OF THE COMPANIES ACT, 2013

AND

IN THE MATTER OF SCHEME OF AMALGAMATION

AMONGST

M/s CHIRAGH TANNERS AND EXPORTERS PRIVATE LIMITED
A-7, 1st Floor, Geetanjali Enclave
New Delhi 110017 ...Transferor/Petitioner No. 1 Company

AND

M/s CHOWDHARY CABLES PRIVATE LIMITED
A-7, 1st Floor, Geetanjali Enclave
New Delhi 110017 ...Transferor/Petitioner No. 2 Company

AND

M/s NORTHLAND METAL TECHNOLOGIES PRIVATE LIMITED
A-7, 1st Floor, Geetanjali Enclave
New Delhi 110017 ...Transferor/Petitioner No. 3 Company

WITH

M/s PUSHPANJALI TREXIM PRIVATE LIMITED
A-7, 1st Floor, Geetanjali Enclave
New Delhi-110017 ...Transferee/Petitioner No. 4 Company

AND

Their respective Shareholders and Creditors

Order Delivered On : 16.10.2020

CORAM :

CH. MOHD. SHARIEF TARIQ, MEMBER (JUDICIAL)
SH. L. N. GUPTA, HON'BLE MEMBER (TECHNICAL)

PRESENT :

For the Petitioners	: Sh. Sumit Kumar Batra, Advocate
For Income Tax Department	: Ms. Easha Kadian, Advocate
For RD and OL	: Ms. Tania Sharma, Advocate

ORDER

PER SHRI L. N. GUPTA, MEMBER (T)

This Joint Application has been filed by the Transferor and Transferee Companies as indicated below under Section 230 to 232 of Companies Act,2013 read with the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016 for the purpose of the approval of the Scheme of Amalgamation, as contemplated between the Companies, its Shareholders and Creditors. The details of the Companies proposed to be amalgamated are given in the following paragraphs.

2. That M/s Chiragh Tanners and Exporters Private Limited, (hereinafter referred to as ("Petitioner-1/Transferor Company-1") was incorporated under the provisions of the Companies Act, 1956 on the 29th April, 1987 vide CIN U74899DL1987PTC027781 having its registered office at A-7, 1st Floor, Geetanjali Enclave New Delhi 110017.

3. That M/s Chowdhary Cables Private Limited, (hereinafter referred to as ("Petitioner-2"/"Transferor Company-2") was incorporated on the 22nd October, 1986 vide CIN U74899DL1986PTC025810 having its registered office at A-7, 1st Floor, Geetanjali Enclave New Delhi 110017.

4. That M/s Northland Metal Technologies Private Limited, (hereinafter referred to as ("Petitioner-3"/"Transferor Company-3") was incorporated on the 07th September, 1987 vide CIN U74899DL1987PTC029122, having its registered office at A-7, 1st Floor, Geetanjali Enclave New Delhi 110017.

5. That M/s Pushpanjali Trexim Private Limited, (hereinafter referred to as ("Petitioner-4"/"Transferee Company") was incorporated on the 08th March, 1995 vide CIN U51909DL1995PTC273393, having its registered office at A-7, 1st Floor, Geetanjali Enclave New Delhi 110017.

6. That the present Petition has been filed jointly by all the Transferor Companies and Transferee Company. All the 'Transferor' and 'Transferee' Companies together are called 'Petitioner Companies' hereinafter. As per the averments, Registered office of all the Companies is in Delhi and hence, the jurisdiction lies with this Bench.

7. The copy of the Scheme has been placed on record. It is stated by the Petitioner Companies that the scheme of Amalgamation will have, *inter alia,* the following benefits :

i. Achieving business and Administrative synergies.

ii. Consolidation and simplification of the group structure, cost savings resulting from rationalization, standardization and simplification of business processes.

iii. Improved organizational capability arising from pooling of financial resources.

iv. Avoiding un-necessary duplication of costs of administration, distribution, selling and marketing and reduction in legal and regulatory compliances.

v. Maximizing the overall shareholders' value by strengthening its core competencies.

8. From perusal of the records, it is seen that the Petitioner Companies had preferred the First Motion Application for seeking directions of this Tribunal for dispensing the meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of both the Companies. This Tribunal vide Order dated 10.2.2020 in the First Motion Application bearing No. CA(CAA) No. 21 (ND) 2020 dispensed with the requirement of convening the meetings of the equity shareholders of all the Petitioner Companies.

9. The Appointed date as fixed for the Proposed Scheme of Amalgamation is 01st April, 2019.

10. Subsequent to the order of dispensation of meetings in relation to both the Transferor Companies and Transferee Company, the Second Motion petition in connection with the Scheme of Amalgamation was moved by the Petitioner Companies for issuance of notices to the Central Government, Registrar of Companies NCT of Delhi & Haryana, Regional Director (Northern Region) MCA, Income Tax Authorities, Official Liquidator, Reserve Bank of India and to such other Objector(s), if any, and also for publication of the said Scheme. The directions were issued vide Order dated 29.05.2020 of this Tribunal, requiring all the Companies to serve notices to the Central Government, Registrar of Companies NCT of Delhi & Haryana, Regional Director (Northern Region) MCA, Income Tax Authorities, Official Liquidator, and also to carry out necessary publication in English and Hindi newspapers, with respect to the said Scheme.

11. It is seen from the records that the Petitioners have duly filed an Affidavit affirming compliance of the order dated 29.05.2020 passed by the Tribunal. A perusal of the Affidavit discloses that the petitioners have caused the newspaper publication as directed in the Daily Business Standard (English) as well as in the Daily 'Business Standard' (Hindi) on 02.06.2020 in relation to the date of hearing of the petition. Further, the affidavit also discloses that copies of petition are duly served on the Regional Director, Northern Region; Registrar of Companies, Delhi and Haryana; Official Liquidator and Income Tax Department in compliance of the order.

12. It is submitted by the Petitioner Companies that the Official Liquidator has filed its report dated 08.06.2020, in which it has stated that it has not received any complaint against the proposed Scheme of Amalgamation from any person/party interested in the Scheme in any manner and that the affairs of the Transferor Companies do not appear to have been conducted in a manner prejudicial to the interest of its members, creditors or public.

13. In response to the notice issued in the petition, Regional Director, Northern Region, Ministry of Corporate Affairs has filed its report dated 04.08.2020. During the hearing held on 12.10.2020 the Ld. Counsel appearing for the RD had submitted that it has no objection to the Scheme

14. That the Income Tax Department has filed its reports dated 24.06.2020 and 25.06.2020 and submitted that there is neither any pending tax liability nor any pending proceeding under the Income Tax Act, against the Petitioner Company No. 2 and 3.

15. With respect to the Petitioner No.1 /Transferor Company, it has been submitted by the Income Tax Department that there is an outstanding demand of Rs.74,170 only raised vide its order dated 01.05.2020.

16. With respect to the Petitioner No.4/Transferee Company, it has been stated by the Income Tax Department that a demand of Rs 66,58,759 has been outstanding for the Assessment year 2006-07 and Rs 4,15,058 only is outstanding for the Assessment year 2010-11.

17. In view of the outstanding demands, it is submitted by the Income Tax Department that it must be permitted to retain its recourse to recovery in respect of any existing or future tax liabilities of the Petitioner Companies. Further there should be no limitation on the power of the Income Tax Department for recovery, including imposition of penalties etc.

18. That vide order dated 08.07.2020, this Bench had directed the Petitioner Companies to file an undertaking on behalf of the Transferee Company to the effect that if any IT demand will be raised against the Transferor Companies on implementation of the Scheme, the Transferee Company shall pay the demand raised by IT Department in accordance with law.

19. That in compliance to the aforesaid direction, the Petitioner Companies have filed an Affidavit dated 14.07.2020 clearly stating that the Transferee company will bear the cost of demand determined by the Income Tax Department.

20. With respect to the demand against the Transferee Company, this Bench observes that even if the Scheme is sanctioned, the Transferee Company will still be in existence and there shall be no impediment for the Income Tax Authorities in recovering their dues.

21. In view of the foregoing facts and upon considering the approval accorded by the shareholders of all Companies to the proposed Scheme and no sustainable objections having been raised by the Office of the Regional

Director, Income Tax Department or any other interested party, there does not appear to be any impediment in granting sanction to the Scheme. Accordingly, in sequel to the above, sanction is hereby granted to the Scheme of Amalgamation under Section 230 to 232 of the Companies Act, 2013. The sanctioned Scheme of Amalgamation shall be binding on the Transferor companies and Transferee Company (the Petitioner Companies) and their Shareholders. The Petitioner Companies shall remain bound to comply with the statutory requirements in accordance with law.

22. Notwithstanding the above, if there is any deficiency found or violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Authority to the Scheme will not come in the way of action to be taken, albeit, in accordance with law, against the concerned persons, Directors and Officials of the Petitioner Companies.

23. While approving the Scheme as above, it is clarified that this Order should not be construed as an order in any way granting exemption from payment of Stamp Duty, Taxes or other statutory dues, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement, which may be specifically required under any law. Further the approval of the Scheme would in no manner affect the tax treatment of the transactions under the Income Tax Act, 1961 or serve as any exemption or defense for the Petitioner Companies against tax treatment in accordance with the provisions of Income Tax Act, 1961.

24. **THIS TRIBUNAL FURTHER DIRECTS** with respect to Transferor companies and Transferee company, that :

(i) Upon the sanction becoming effective from the Appointed date of amalgamation i.e.1st April, 2019, the Transferor Companies No.1 to 3 shall stand dissolved without undergoing the process of winding up.

(ii) That all the property, rights and powers of all the Transferor Companies be transferred without further act or deed, to the Transferee Company and accordingly, the same shall pursuant to Section 232 of the Act, be transferred to and vest in the Transferee Company for all the estates and interests of the Transferor Companies therein but subject nevertheless to all charges now affecting the same.

(iii) All benefits, entitlements, incentives and concessions under incentive schemes and policies that the Transferor Companies are entitled to including under Customs, Excise, Service Tax, VAT, Sales Tax, GST and Entry Tax and Income Tax laws, subsidy receivables from Government, grant from any governmental authorities, direct tax benefit/exemptions/deductions, shall, to the extent statutorily available and along with associated obligations, stand transferred to and be available to the Transferee Company as if the Transferee Company was originally entitled to all such benefits, entitlements, incentives and concessions;

(iv) All contracts of the Transferor Companies, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Companies, the Transferee Company had been a party or beneficiary or obliged thereto;

(v) All the employees of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Companies, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(vi) All liabilities of the Transferor Companies shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the

Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(vii) All proceedings now pending by or against the Transferor Companies be continued by or against the Transferee company.

25. That the Petitioner Companies shall within thirty days of the date of the receipt of this Order cause a Certified Copy of this Order to be delivered to the Registrar of Companies for registration and on such Certified Copy being so delivered, the Transferor Companies shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Companies on the file kept by him in relation to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

26. The Company Petition stands **allowed** in the above terms.

-Sd-

(L. N. GUPTA)
MEMBER (T)

S. d.

(CH. MOHD. SHARIEF TARIQ)
MEMBER (J)